



THE BULL BEAR

RSI

FACE OFF



A Quick Note from Hima

Thank you for purchasing The Bull Bear RSI Face Off™!

After working on Wall Street and serving institutional clients for 10 years, I had seen a lot. But I've walked away from a 6-figure job with a bright future. Why? Because I had found a way to trade momentum that I knew I had to share with the world. The seed of the idea came from my certification study material, but I created a visual for it and took it to a whole new level of application. I've learned the rules like all the pros, but I've broken them down like an artist. I see signals emerging on the RSI that no one taught me - I uncovered them on my own.

When you've finished going through this ebook, you'll clearly see what I mean. And you'll know how to follow the RSI in a whole new winning way. You'll want to learn even more ways to use this powerful indicator to find market turning points as well as to trade with the existing trend. You'll be able to do this on intraday futures charts as well as stocks, ETFs, currencies, commodities and more on daily and weekly timeframes as well.

If you're ready to dive deeper into this exclusive content, then keep reading. And be sure to print off the Cheat Sheet that's at the end of the ebook and keep it by your trading desk, so that you can apply what you're about to learn with the greatest ease!

To Your Trading Success,



Founder & Head Trader

HimaReddy.com

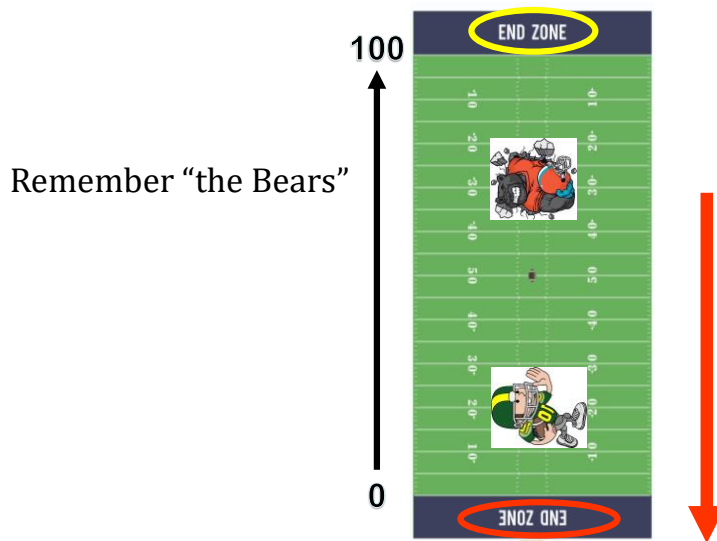


Hey there! Before we dive into The Bull Bear RSI Face Off™ and all things surrounding it, let's first make sure you remember how the underlying indicator, the RSI Power Zones, works in the first place!

We begin with the Relative Strength Index, or RSI. The traditional approach shows market conditions being “overbought” at 70 or above, and therefore ripe for a potential topping pattern. The traditional RSI parameters accordingly show market conditions as being “oversold” at 30 or below, ripe for a bottom formation...



But when it comes to using only the standard OB/OS, I'm calling B.S.!! No offense to Mr. Welles Wilder (who invented the RSI), or to anybody who's ever used it this way. I just know there's so much more to it and I'm going to show you how that works.

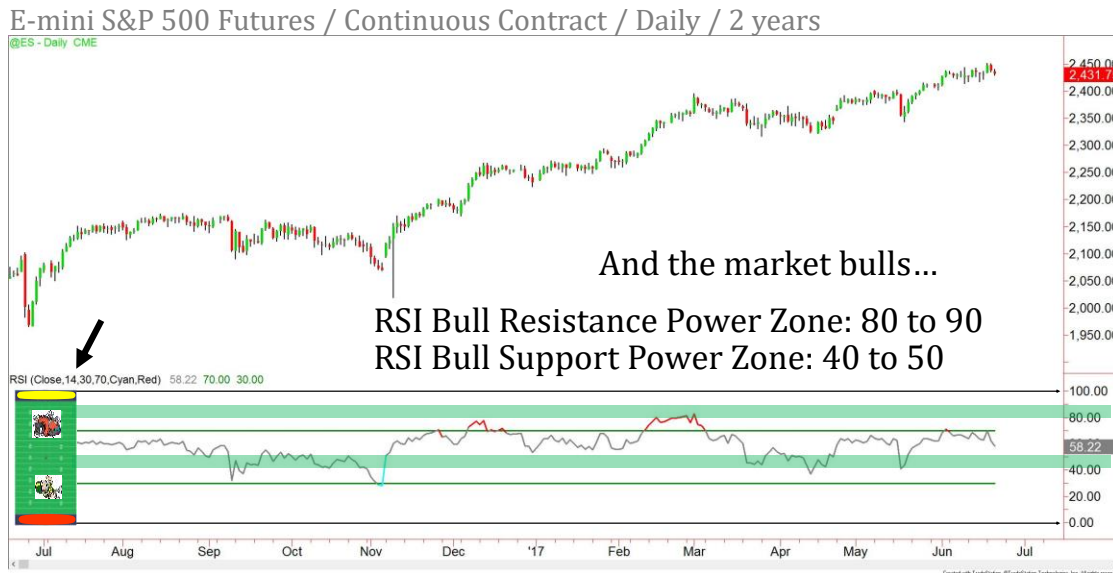


The Green Bay Packers vs. the Chicago Bears, classic football rivals! The Bears must push into Packer territory on the field and make it to the End Zone (circled in orange) to score.



Jumping to financial markets, the *market* bears can push the market to much deeper oversold levels than in normal market conditions, or in sideways market conditions. And, the actual resistance that they come up to is lower than the traditional 70 level.

Down trending or bear markets generally find resistance when the RSI is in the Power Resistance Zone from 55 to 65. And they generally find support when the RSI is in the Power Support Zone from 20 to 30.



On the flipside, the market bulls generally extend into the Power Resistance Zone from 80 to 90. And, in a bull market the RSI doesn't need to deteriorate all the way down to 30 to see a buy signal. Instead, bull markets generally stabilize ahead of the Power Support Zone from 40 to 50.

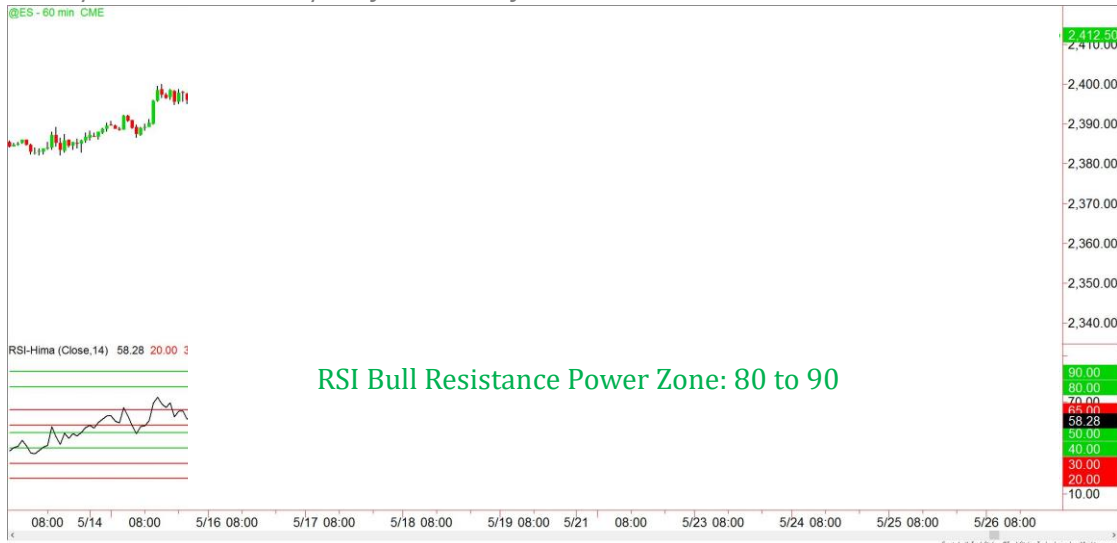
It's VERY IMPORTANT to remember that the RSI is still staying at the default setting of 14 periods. Whether it's 14 days, 14 hours, or 14 weeks, these zones only work if the period setting is 14. So, I say set it and forget it!

@ES /60-minute chart / May 12th – May 25th



Now you'll see the adaptation I made to my RSI Indicator to plot the Power Zones. The two lower red lines mark the Bear Support Power Zone from 20 to 30.

@ES /60-minute chart / May 12th – May 25th

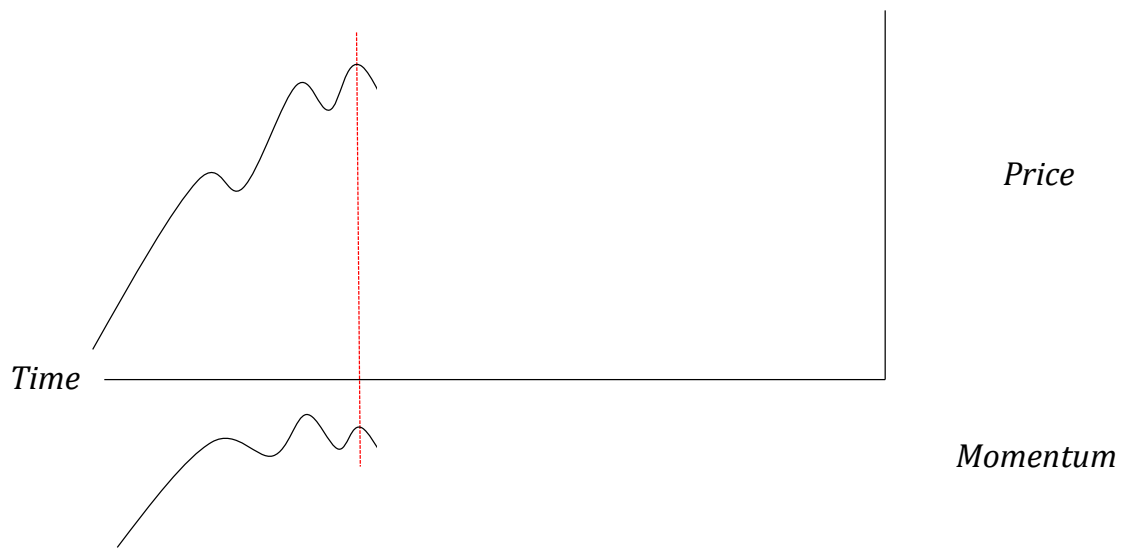


The lines alternate (red for Bear Zones, green for Bull Zones), ending with green lines marking the Bull Resistance Power Zone from 80 to 90. The RSI will still trade between 0 and 100 (original oscillator parameters) but these green and red lines make it easier to monitor

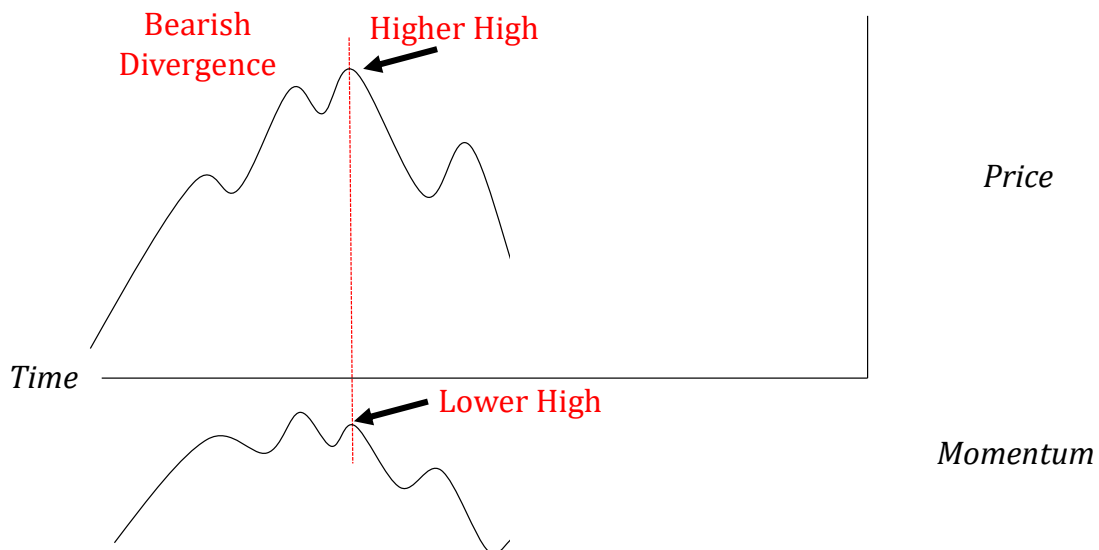
movement from one Zone to another. And, the value of each horizontal line is marked on the right sub chart axis of each graph.



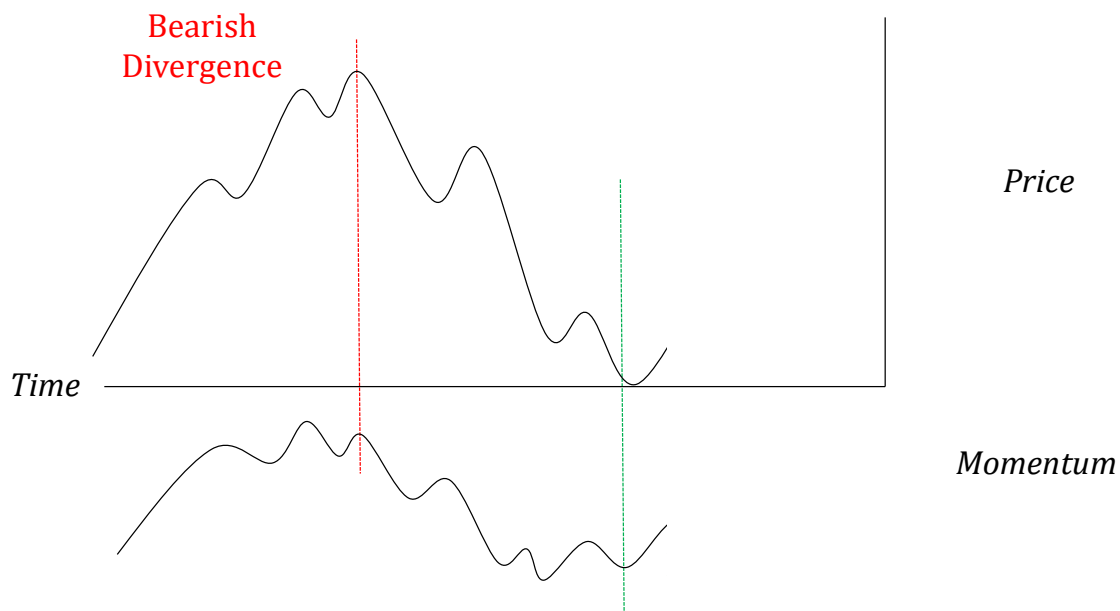
Let's jump back to the clean visual of Price versus Momentum. We've got price trending higher and momentum trending higher, which makes sense because they're supposed to move together. But things get interesting when they DON'T move together...



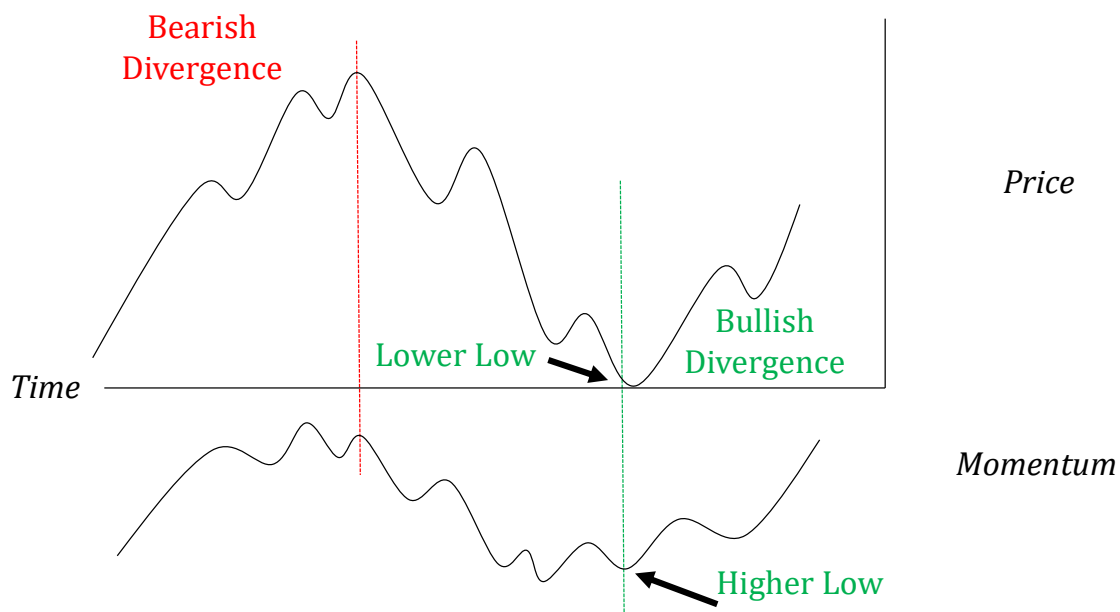
The red dashed line marks a higher high in price, and a lower high in momentum.



This signal is called a “Bearish Divergence”. This is a situation in which momentum is pulling away from price and price is pulling away from momentum. It’s usually a sign that the underlying force in the uptrend that we’ve been watching unfold is starting to shift. It may also indicate that a reversal in price (a price top or peak) may be forming soon.



Continuing with our “clean” simulation, a downtrend unfolds.



The green dashed line marks the formation of a lower low in price, but a higher low on the RSI. This is known as a “Bullish Divergence”. This has the exact opposite implications as compared to the Bearish Divergence. A Bullish Divergence is usually a sign that the underlying force in the downtrend that we’ve been monitoring is starting to shift. It may also indicate that a reversal in price (a price bottom or trough) may be forming soon.

@CL /Daily/ February 2016 - Current



Let's move on to some actual market examples to see Divergences at work. Bulls and Bears are constantly "facing off", but the combination of Divergences and Power Zone placement can help give you that hard-sought early "heads up" about what might be ahead.

Take a look at this chart of oil futures. The RSI action from the 65.65 to 63.51 peaks on the indicator show a Bearish Divergence against price. AND, this pattern is forming while the RSI is in the Bear Resistance Power Zone. This is a "double whammy": bearish pattern in a bearish zone. So, what do you do when you see this setup? You'd tighten up your protective stop orders if you happened to be long, and possibly looking for new sell opportunities. This is the type of set up where you can be actionable to the other side IF the price reversal happens.

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The price reversal DID happen, with prices declining. A double bottom formed in price, with the RSI finding a foothold at 29.98 within the Bear Support Power Zone.

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Another rally in prices unfolded in mid-November, this time extending until the RSI pushed toward the upper boundary of the Bear Market Resistance Zone, reaching 64.45.

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On December 12th, a candle pattern with a very long upper shadow formed, and became the start of a very long period of sideways trading. **But look at how the Bear Resistance Power Zone continued to hold the RSI down.** Prices eventually broke lower, and the RSI weakened to reach 24.65.

Very soon after, prices posted another lower low, but the RSI posted a higher low, forming a Bullish Divergence. Since this occurred in the Bear Support Power Zone, the safest strategy would have been to exit any short positions or tighten up stops (protective buy orders) on them, but not to enter long.

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That Bullish Divergence did turn out to be a bottoming signal, and oil rallied higher with the RSI reaching 67.05, probing right into the Bear Resistance Power Zone. Once again, it did NOT make its way to the 70.00 traditional overbought level.

So, what's the lesson here? If you keep looking at the RSI like a round of Pong (Atari video game classic!), just moving from 30, to 70, to 30, to 70, over and over, then you are going to miss out on A TON of tradeable opportunities.

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Prices came off the April 12th high and fell into early May, with the RSI falling back into the Bear Support Power Zone.

@CL /Daily/ February 2016 - Current



IBB: iShares NASDAQ Biotechnology Index /Weekly/ April 2013 - Current



The RSI Power Zones work on any active market on any time frame.

Let's look at the IBB (biotech stocks index) on a weekly time frame.

IBB: iShares NASDAQ Biotechnology Index /Weekly/ April 2013 - Current



Again, the RSI setting remains at 14-period. In April 2015, a price low formed on the IBB Weekly chart with RSI in the Bull Support Power Zone. The price rally extended to the Bull Resistance Power Zone (80 to 90).

IBB: iShares NASDAQ Biotechnology Index /Weekly/ April 2013 - Current



A Bearish Divergence formed over the next few months. This took place in the Bull Resistance Power Zone. This is a good signal to tighten up stops on long positions or exit them, but it's not the safest place to go short.

IBB: iShares NASDAQ Biotechnology Index /Weekly/ April 2013 - Current



The index declined following the Bearish Divergence, and then a long period of choppy trading unfolded. The RSI was stuck between the Bull Market Support Zone and the Bear

Market Resistance zone, essentially hugging the 50.00 level. This marks a trendless environment.

IBB: iShares NASDAQ Biotechnology Index /Weekly/ April 2013 - Current



But guess what? The word “trend” has the word “end” in it because trends do have their ends! The long green candle at the far right of this chart shows the start of the upward breakout from the consolidation phase.

IBB: iShares NASDAQ Biotechnology Index /15-minute/ April 2013 - Current



To trade the move, it's best to move to a lower time frame for entry. The 15-minute chart shows the break of a couple of highs (marked by purple horizontal lines). That price action on the 15-minute chart was the first indication that this market might be breaking out of the weekly sideways pattern.

IBB: iShares NASDAQ Biotechnology Index /15-minute/ April 2013 - Current



The same 15-minute chart then showed a higher low forming with RSI holding at 42.69, which is within the Bull Support Power zone.

IBB: iShares NASDAQ Biotechnology Index /15-minute/ April 2013 - Current



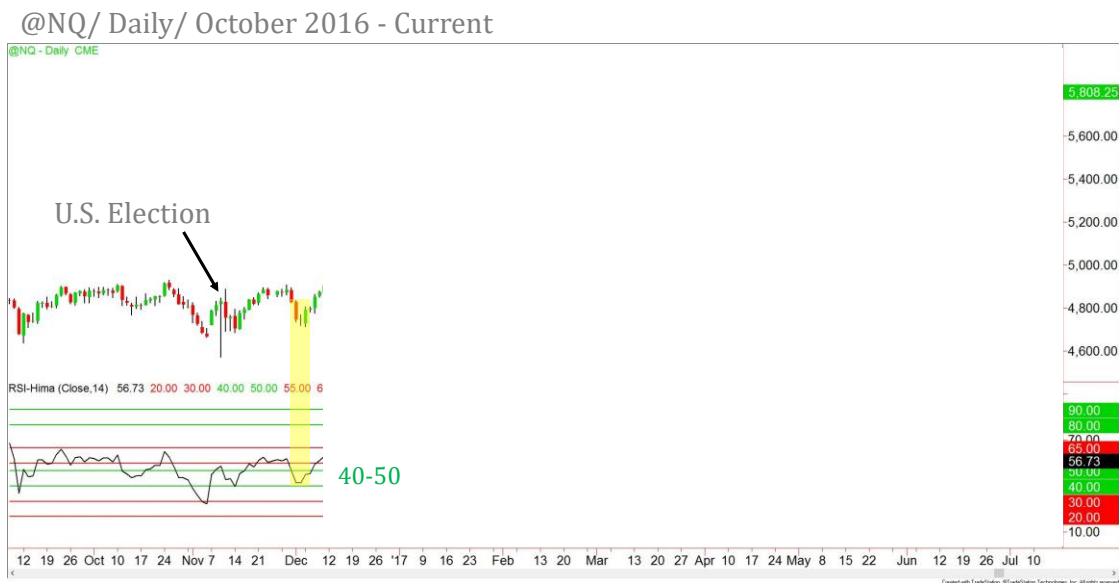
And if that first opportunity to get long was missed, another chance came within a couple of days, with THE SAME 15-minute chart showing the RSI improving from 45.81.

Another great feature of the RSI Power Zones is that they work under all market conditions.

@NQ/ Daily/ October 2016 - Current



This chart of NQ (Nasdaq) shows the unexpected market activity that followed Election Day here in the U.S. in November 2016. On the daily chart, there was a sharp spike down.



But after a couple weeks, it became clear that the Bull Support Power Zone (40 to 50) was holding.

@NQ/ Daily/ October 2016 - Current



RSI continued to rise through 70.00, and the price uptrend persisted, with the RSI reaching the Bull Resistance Power Zone (80 to 90). Without the Power Zones, you might have been in “top picking” mode way too early on, which is a dangerous mindset for any trader or investor to hold on to.

The RSI Power Zones help stop you from getting too bearish too soon during a strong uptrend. They also help stop you from getting too bullish too soon when prices are in a steady downtrend.

@NQ/ Daily/ October 2016 - Current



While prices continued higher but at a slower pace, the RSI had time to work off the 80-90 overbought conditions, and once again established support in the Bull Support Power Zone. Prices then resumed higher.

@NQ/ Daily/ October 2016 - Current



The daily chart of NQ shows the move, once again, to the 80-90 zone for the uptrend. Then, in May 2017, France had its Presidential Election. The volatility that coincided with this event made for choppy intraday trading, but the daily chart shows that over the course of about 5

sessions the futures traded from the Bull Resistance Power Zone to the Bull Support Power Zone then BOOM moved higher again.

@NQ/ Daily/ October 2016 - Current



This culminated in a Bearish Divergence setting up in the Bull Resistance Power Zone. Again, it's best to exit longs in this situation to take profits, or tighten stops on those positions, but if you're just trading off the Power Zones then it's a bit dangerous to simply go short on this setup.

@YM/ 2-minute/ June 21st to Current



Our last example is a 2-minute chart (that's right, just 120 seconds for each bar!) of the E-mini Dow futures. **This will reinforce my point that the RSI Power Zones work on any active market in any time frame.**

@YM/ 2-minute/ June 21st to Current



A double top pattern formed in price (essentially two matching price highs). Price broke down and this all occurred with the 14-period RSI holding in the Bear Resistance Power Zone.

Prices declined into the Bear Support Power Zone, BUT they also formed a Bullish Divergence soon after. Therefore it's important to remember that we aren't just trading between the Zones (again, this is not a game of Pong!). You don't buy just because prices fall to a Support Power Zone or sell just because they rally into a Resistance Power Zone. You've got to monitor what else is unfolding.

@YM/ 2-minute/ June 21st to Current



Here, the oversold conditions got worked off (RSI improved), but price was still showing lower highs. The Bullish Divergence formed and this would have been a great signal to go ahead and take profits on short positions (exit) or tighten up stops on short positions (protect baked-in profits). But it would NOT be a good time to go long.

@YM/ 2-minute/ June 21st to Current



The futures fell lower once again, and the RSI fell deep into its lower range, pushing beyond the 20 to 30 Bear Support Zone.

After walking through these example, it should be clear that RSI Power Zones work. And when combined with The Bull Bear RSI Face Off™, they allow you to trade momentum like you never have before!

So, now you might be wondering, is that all there is to it? Trading between the "zones" and watching for divergence signals? Well this is my favorite way to start trading with RSI Power Zones, but in my 16+ years using this indicator I have created an entire system around trading with this indicator. It includes what you've learned in this ebook, and adds in so much more.

Are you ready to take advantage of the whole field and make the most of RSI Power Zones? Get **The Four Zones RSI Coverage System** for a [limited time special offer price!](#)

RSI Power Zone & Divergence “Cheat Sheet”

	RSI Bullish Divergence	RSI Bearish Divergence
Bull Resistance Power Zone (80-90)	• Likely last legs of an uptrend • Be on the lookout for top reversal price formations • Tighten up stops on long positions	• Exit longs • Tighten up stops on long positions • Aggressive: enter short
Bear Resistance Power Zone (55 - 65)	• Likely midpoint of a price uptrend (expect further upside) • Maintain any long positions • Don't enter new long positions	• Watch for a sell entry setup on price
Bull Support Power Zone (40-50)	• Watch for a buy entry setup on price	• Likely midpoint of a price downtrend (expect further downside) • Maintain short positions • Don't enter new short positions
Bear Support Power Zone (20-30)	• Exit shorts • Tighten up stops on short positions • Aggressive: enter long	• Likely last legs of a downtrend • Be on the lookout for bottom reversal formations in price • Tighten up stops on short positions

The Bull Bear RSI Face Off™

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